Registration number: 00526923

# Howden Joinery Limited

Annual Report and Financial Statements

for the Period from 30 December 2018 to 28 December 2019

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# Howden Joinery Limited

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# Howden Joinery Limited

## Company Information

| | |
|---|---|
| **Registered office** | 40 Portman Square<br>London<br>W1H 6LT |
| **Auditor** | Deloitte LLP<br>1 New Street Square<br>London<br>United Kingdom<br>EC4A 3HQ |

## Howden Joinery Limited

## Strategic Report for the Period from 30 December 2018 to 28 December 2019

The directors present their strategic report for the period from 30 December 2018 to 28 December 2019.

The Company's principal activity is described in the Directors' Report, which is located immediately below this Strategic Report. The Company's financial Key Performance Indicators are as shown in the Profit and Loss Account and Balance Sheet. We do not consider there to be any non-financial Key Performance Indicators relevant to the Company, other than those listed in the Group annual report, as detailed in the paragraph immediately below.

The Group manages its operations on a Group basis and therefore prepares a consolidated group annual report and accounts, including a consolidated strategic report. Pursuant to Section 414(A) (4) of the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013, which provides that a group strategic report may give greater emphasis to the matters that are significant to the undertakings included in the consolidation when taken as a whole, the following information in relation to the Company can be found in the Group annual report on the pages listed:

- Fair review of the business (pgs 22-31, 35-39)
- Description of the principal risks and uncertainties facing the Group and its subsidiary undertakings (pgs 40-47)
- Financial and non-financial KPIs (pgs 32-34)
- Future developments (pgs 13, 30-31, 38)
- Information about environmental matters, social, community and human rights issues (pgs 48-61)
- Description of culture, what Howdens stands for, market, business model and strategy (pgs 14-21)
- Information in relation to Group employees, including gender statistics, employee involvement and Group policy on the employment of disabled persons (pgs 87, 121)

This report is available as part of the Group's Annual Report which is available at http://www.howdenjoinerygroupplc.com/ and which does not form part of this report.

Approved by the Board on 13 August 2020 and signed on its behalf by:

F. McNaughton

Forbes McNaughton
Company secretary

# Howden Joinery Limited

## Directors' Report for the Period from 30 December 2018 to 28 December 2019

The directors present their annual report and the audited financial statements for the period from 30 December 2018 to 28 December 2019.

**Directors**
The directors who held office during the period, were as follows:

Theresa Keating

Kevin Barrett (resigned 29 February 2020)

Clive Cockburn

Gareth Hopkins (resigned 24 April 2020)

Mark Robson

Andrew Witts

Robert Fenwick

Andrew Livingston

Andrew Gault

Mark Slater (appointed 3 June 2019)

The following directors were appointed after the period end:

Julian Lee (appointed 23 July 2020)

Richard Sutcliffe (appointed 23 July 2020)

**Dividends**
A dividend of £230.5m was proposed and paid during the current period (prior period: a dividend of £213.0m was proposed and paid).

**Financial instruments**

**Objectives and policies, price risk, credit risk, liquidity risk and cash flow risk**

These are managed on a Group basis. Further information can be found on pages 38-39 of the Howden Joinery Group Plc 2019 Annual Report and accounts, which is available at
https://www.howdenjoinerygroupplc.com/investors/financial-reports/annual-reports

**Political donations**
The Company did not make any political donations in the current or prior period.

# Howden Joinery Limited

## Directors' Report for the Period from 30 December 2018 to 28 December 2019

**Charitable donations**
During the period the company made charitable donations of £1,990,862. Individual donations were:

| | £ |
|---|---|
| Other small cash and stock donations to over 3,500 local causes | 1,097,000 |
| Leonard Cheshire Disability - sponsoring the "Can Do" project | 500,000 |
| Donating and fitting kitchens for numerous local charities | 252,774 |
| Leonard Cheshire Disability - donating and fitting kitchens | 141,088 |

**Going concern**
After making enquiries and taking into consideration the profitability and financial position of the Company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future

This judgement is based on both the performance and prospects of this Company, and on a written commitment of financial support from its ultimate parent company, Howden Joinery Group Plc. In assessing the quality of the commitment of support from its ultimate parent company, the directors noted the parent company's assessment of the Howden Joinery Group's going concern in its consolidated half year report dated 22 July 2020, which includes a description of how the parent company has considered and modelled possible effects of COVID 19 and Brexit on consolidated Group trading, and has concluded that it was appropriate for the consolidated half year results to be prepared on a going concern basis.

The directors continue to adopt the going concern basis in preparing the financial statements.

**Disclosure of information to the auditors**
Each director has taken steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditor is aware of that information. The directors confirm that there is no relevant information that they know of and of which they know the auditor is unaware.

**Employees**
The Company had 7,890 (prior period 7,553) employees during the current period and staff costs amounted to £293.7m (prior period £279.5m).

**Principal activity**
The Company designs, and either sources or manufactures, kitchens and joinery products, and then sells these products to the building trade, predominantly small local builders, via a nationwide network of depots.

**Reappointment of auditors**
Deloitte LLP have indicated their willingness to be reappointed for another term and will be deemed to be reappointed in accordance with s485 - 488 of the Companies Act 2006.

Approved by the Board on 13 August 2020 and signed on its behalf by:

F. McNaughton
.....
Forbes McNaughton
Company Secretary

## Howden Joinery Limited

## Statement of Directors' Responsibilities

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law), including FRS 101 'Reduced Disclosure Framework'. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

# Howden Joinery Limited

## Independent Auditor's Report to the Members of Howden Joinery Limited

### Report on the audit of the financial statements

**Opinion**
In our opinion the financial statements of Howden Joinery Limited (the "Company"):

- give a true and fair view of the state of the Company's affairs as at 28 December 2019 and of its profit for the period then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice including Financial Reporting Standard 101 "Reduced Disclosure Framework"; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

**Opinion**
We have audited the financial statements of Howden Joinery Limited (the 'Company') for the period from 30 December 2018 to 28 December 2019, which comprise the
• Profit and Loss Account,
• Statement of Comprehensive Income,
• Balance Sheet,
• Statement of Changes in Equity, and
• Notes to the Financial Statements, including a summary of significant accounting policies.

The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), including FRS 101 'Reduced Disclosure Framework'.

**Basis for opinion**
We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report.

We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the Financial Reporting Council ("FRC")'s Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

**Conclusions relating to going concern**
We are required by ISAs (UK) to report in respect of the following matters where:

- the directors' use of the going concern basis of accounting in preparation of the financial statements is not appropriate; or
- the directors have not disclosed in the financial statements any identified material uncertainties that may cast significant doubt about the company's ability to continue to adopt the going concern basis of accounting for a period of at least twelve months from the date when the financial statements are authorised for issue.

We have nothing to report in respect of these matters.

**Other information**
The directors are responsible for the other information. The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in respect of these matters.

**Responsibilities of directors**

As explained more fully in the Statement of Directors' Responsibilities, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

**Auditor's responsibilities for the audit of the financial statements**

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

**Report on other legal and regulatory requirements**

**Opinions on other matters prescribed by the Companies Act 2006**

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and Directors' Report for the financial period for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and Directors' Report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report and the Directors' Report.

## Independent Auditor's Report to the Members of Howden Joinery Limited

**Matters on which we are required to report by exception**
Under the Companies Act 2006 we are required to report in respect of the following matters if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in respect of these matters.

**Use of our report**
This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Claire Faulkner (Senior Statutory Auditor)
For and on behalf of Deloitte LLP, Statutory Auditor

London
United Kingdom

13 August 2020

## Howden Joinery Limited

## Profit and Loss Account for the Period from 30 December 2018 to 28 December 2019

| | Note | 30 December 2018 to 28 December 2019 £ 000 | 31 December 2017 to 29 December 2018 £ 000 |
|---|---|---|---|
| Turnover | 4 | 1,560,143 | 1,485,243 |
| Cost of sales | | (625,572) | (606,743) |
| Gross profit | | 934,571 | 878,500 |
| Administrative expenses | | (639,240) | (597,067) |
| Operating profit | | 295,331 | 281,433 |
| Other interest receivable and similar income | 7 | 11 | 8 |
| Interest payable and similar charges | 8 | (14) | - |
| | | (3) | 8 |
| Profit before tax | | 295,328 | 281,441 |
| Tax on profit | 12 | (56,502) | (54,957) |
| Profit for the period | | 238,826 | 226,484 |

The notes on pages 13 to 32 form an integral part of these financial statements.

## Howden Joinery Limited

## Statement of Comprehensive Income for the Period from 30 December 2018 to 28 December 2019

| | 2019<br>£ 000 | 2018<br>£ 000 |
|---|---|---|
| Profit for the period | 238,826 | 226,484 |
| Total comprehensive income for the period | 238,826 | 226,484 |

## Howden Joinery Limited

## (Registration number: 00526923)
## Balance Sheet as at 28 December 2019

| | Note | 28 December 2019 £ 000 | 29 December 2018 £ 000 |
|---|---|---|---|
| **Fixed assets** | | | |
| Intangible assets | 14 | 20,913 | 7,533 |
| Property, plant and equipment | 13 | 127,853 | 108,359 |
| Investments | 15 | - | - |
| | | 148,766 | 115,892 |
| **Current assets** | | | |
| Stocks | 16 | 226,474 | 220,692 |
| Debtors | 17 | 1,894,713 | 1,497,114 |
| Cash at bank and in hand | 18 | 2,442 | 314 |
| | | 2,123,629 | 1,718,120 |
| **Creditors: Amounts falling due within one year** | | | |
| Trade and other payables | 24 | (1,867,686) | (1,446,700) |
| Income tax liability | 12 | (56,684) | (53,872) |
| Creditors: Amounts falling due within one year | | (1,924,370) | (1,500,572) |
| Net current assets | | 199,259 | 217,548 |
| Total assets less current liabilities | | 348,025 | 333,440 |
| Provisions for liabilities | 23 | (6,452) | (4,217) |
| Net assets | | 341,573 | 329,223 |
| **Capital and reserves** | | | |
| Share capital | 19 | 100,000 | 100,000 |
| Other reserves | | 29,830 | 25,935 |
| Retained earnings | | 211,743 | 203,288 |
| Shareholders' funds | | 341,573 | 329,223 |

Approved by the Board on 13 August 2020 and signed on its behalf by:

Theresa Keating
Director

## Howden Joinery Limited

## Statement of Changes in Equity for the Period from 30 December 2018 to 28 December 2019

| | Share capital £ 000 | ESOP Reserve £ 000 | Retained earnings £ 000 | Total £ 000 |
|---|---|---|---|---|
| At 30 December 2018 | 100,000 | 25,935 | 203,288 | 329,223 |
| Profit for the period | - | - | 238,826 | 238,826 |
| Total comprehensive income | - | - | 238,826 | 238,826 |
| Dividends | - | - | (230,507) | (230,507) |
| Deferred tax on share schemes | - | - | 136 | 136 |
| Share based payment transactions | - | 3,895 | - | 3,895 |
| At 28 December 2019 | 100,000 | 29,830 | 211,743 | 341,573 |

| | Share capital £ 000 | ESOP Reserve £ 000 | Retained earnings £ 000 | Total £ 000 |
|---|---|---|---|---|
| At 31 December 2017 | 100,000 | 22,957 | 190,185 | 313,142 |
| Profit for the period | - | - | 226,484 | 226,484 |
| Total comprehensive income | - | - | 226,484 | 226,484 |
| Dividends | - | - | (213,376) | (213,376) |
| Deferred tax on share schemes | - | - | (5) | (5) |
| Share based payment transactions | - | 2,978 | - | 2,978 |
| At 29 December 2018 | 100,000 | 25,935 | 203,288 | 329,223 |

# Howden Joinery Limited

## Notes to the Financial Statements for the Period from 30 December 2018 to 28 December 2019

### 1 General information

The company is a private company limited by share capital, incorporated and domiciled in England.

The address of its registered office is:
40 Portman Square
London
W1H 6LT
England

These financial statements were authorised for issue by the Board on 13 August 2020.

### 2 Accounting policies

**Summary of significant accounting policies and key accounting estimates**
The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

**Basis of preparation**
These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework. They are prepared on the historical cost basis.

**Summary of disclosure exemptions**
As permitted by FRS 101, the Company has taken advantage of the disclosure exemptions available under that standard in relation to business combinations, share-based payment, non-current assets held for sale, fair value measurement, financial instruments, revenue, capital management, presentation of comparative information in respect of certain assets, presentation of a cash-flow statement, standards not yet effective, impairment of assets and related party transactions.

Where relevant, equivalent disclosures have been given in the group accounts of Howden Joinery Group Plc. These group accounts are available to the public and can be obtained from this company's registered office or at http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp.

**Going concern**
The financial statements have been prepared on a going concern basis.

**Exemption from preparing group accounts**
The financial statements contain information about Howden Joinery Limited as an individual company and do not contain consolidated financial information as the parent of a group.
The company is exempt under section 400 of the Companies Act 2006 from the requirement to prepare consolidated financial statements as it and its subsidiary undertakings are included by full consolidation in the consolidated financial statements of its parent, Howden Joinery Holdings Limited, a company incorporated in England.

**Changes in accounting policy**
None of the standards, interpretations and amendments effective for the first time from 30 December 2018 have had a material effect on the financial statements.

## 2 Accounting policies (continued)

**Revenue recognition**

*Recognition*

The company earns revenue

The principles in IFRS are applied to revenue recognition criteria using the following 5 step model:

1. Identify the contracts with the customer
2. Identify the performance obligations in the contract
3. Determine the transaction price
4. Allocate the transaction price to the performance obligations in the contract
5. Recognise revenue when or as the entity satisfies its performance obligations

Revenue is measured at the fair value of the consideration received or receivable for goods and services provided to customers outside the Company, excluding sales taxes and discounts. Revenue is recognised on despatch.

**Finance income and costs policy**

Interest income is recognised in the income statement as it accrues, using the effective interest method.

**Foreign currency transactions and balances**

Transactions in foreign currencies are initially recorded at the functional currency rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated into the respective functional currency of the entity at the rates prevailing on the reporting period date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing on the initial transaction dates.

Non-monetary items measured in terms of historical cost in a foreign currency are not retranslated.

**Tax**

The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except that a change attributable to an item of income or expense recognised as other comprehensive income is also recognised directly in other comprehensive income.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the company operates and generates taxable income.

Deferred income tax is recognised on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements and on unused tax losses or tax credits in the company. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

The carrying amount of deferred tax assets are reviewed at each reporting date and a valuation allowance is set up against deferred tax assets so that the net carrying amount equals the highest amount that is more likely than not to be recovered based on current or future taxable profit.

## 2 Accounting policies (continued)

**Tangible assets**
Property, plant and equipment is stated in the statement of financial position at cost, less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

The cost of property, plant and equipment includes directly attributable incremental costs incurred in their acquisition and installation.

**Depreciation**
Depreciation is charged so as to write off the cost of assets, other than assets under construction - which are not depreciated - over their estimated useful lives, as follows:

| Asset class | Depreciation method and rate |
|---|---|
| Plant, machinery and vehicles | 3 - 20 years |
| Leasehold property | the period of the lease, or the individual asset's life if shorter |
| Fixtures and fittings | 2 - 15 years |

**Intangible assets**
Our intangible assets represent computer software. Where computer software is not an integral part of a related item of computer hardware, the software is classified as an intangible asset. The capitalised costs of software for internal use include external direct costs of materials and services consumed in developing or obtaining the software and payroll and payroll-related costs for employees who are directly associated with and who devote substantial time to the project. Capitalisation of these costs ceases no later than the point at which the software is substantially complete and ready for its intended internal use.

These costs are amortised on a straight line basis over their expected useful lives, which are reviewed annually. The expected useful lives range between three and seven years, depending on the nature of the software.

**Investments**
Investments in subsidiaries are stated at cost less, where appropriate, provisions for impairment.

**Cash and cash equivalents**
Cash and cash equivalents comprise cash on hand and call deposits, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of changes in value.

**Trade receivables**
Trade receivables are amounts due from customers for merchandise sold or services performed in the ordinary course of business. If collection is expected in one year or less (or in the normal operating cycle of the business if longer), they are classified as current assets. If not, they are presented as non-current assets.

Trade receivables are recognised initially at the transaction price. They are subsequently measured at amortised cost using the effective interest method, less provision for impairment. A provision for the impairment of trade receivables is established when there is objective evidence that the company will not be able to collect all amounts due according to the original terms of the receivables.

## 2 Accounting policies (continued)

**Stocks**
Inventories are stated at the lower of cost and net realisable value. Cost is determined using the weighted average method.

The cost of finished goods and work in progress comprises direct materials and, where applicable, direct labour costs and those overheads that have been incurred in bringing the inventories to their present location and condition. At each reporting date, inventories are assessed for impairment. If inventory is impaired, the carrying amount is reduced to its selling price less costs to complete and sell; the impairment loss is recognised immediately in profit or loss.

**Trade payables**
Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less (or in the normal operating cycle of the business if longer). If not, they are presented as non-current liabilities.

Trade payables are recognised initially at the transaction price and subsequently measured at amortised cost using the effective interest method.

**Provisions**
Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, it is probable that the group will be required to settle that obligation and a reliable estimate can be made of the amount of the obligation.

Provisions are measured at the directors' best estimate of the expenditure required to settle the obligation at the reporting date and are discounted to present value where the effect is material.

**Share based payments**
The company operates an equity-settled, share-based compensation plan, under which the entity receives services from employees as consideration for equity instruments (options) of the entity. The fair value of the employee services received is measured by reference to the estimated fair value at the grant date of equity instruments granted and is recognised as an expense over the vesting period. The estimated fair value of the option granted is calculated using a binomial option pricing model. The total amount expensed is recognised over the vesting period, which is the period over which all of the specified vesting conditions are to be satisfied.

The proceeds received net of any directly attributable transaction costs are credited to share capital (nominal value) and share premium when the options are exercised.

**Dividends payable**
Dividend distribution to the company's shareholders is recognised as a liability in the company's financial statements in the period in which the dividends are approved by the company's shareholders.

## 2 Accounting policies (continued)

**Financial instruments**

Financial assets and financial liabilities comprise all assets and liabilities reflected in the balance sheet, although excluding Tangible assets, investment properties, intangible assets, deferred tax assets, prepayments, deferred tax liabilities and employee benefits plan.

The company recognises financial assets and financial liabilities in the statement of financial position when, and only when, the company becomes party to the contractual provisions of the financial instrument.

Financial assets and liabilities are initially recognised at fair value and subsequently measured at amortised cost.

**Impairment of financial assets**

For trade receivables, the company applies the simplified approach, which requires expected lifetime losses to be recognised from initial recognition of the receivables.

To measure the expected credit losses, trade receivables and contract assets have been grouped based on shared credit risk characteristics and the days past due. The contract assets relate to unbilled work in progress and have substantially the same risk characteristics as the trade receivables for the same types of contracts. The company has therefore concluded that the expected loss rates for trade receivables are a reasonable approximation of the loss rates for the contract assets.

The expected loss rates are based on the payment profiles of sales over a period of 36 month before 28 December 2019 and the corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables. The company has identified the GDP and the unemployment rate of the countries in which it sells its goods and services to be the most relevant factors, and accordingly adjusts the historical loss rates based on expected changes in these factors.

**Share capital**

Ordinary shares are classified as equity. Equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments. If payment is deferred and the time value of money is material, the initial measurement is on a present value basis.

## 2 Accounting policies (continued)

**Leases**
Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee.

Assets held under finance leases are recognised as non-current assets of the company at the lower of their fair value at the date of commencement of the lease and at the present value of the minimum lease payments. These assets are depreciated on a straight-line basis over the shorter of the useful life of the asset and the lease term. The corresponding liability to the lessor is included in the statement of financial position as a finance lease obligation.

Lease payments are apportioned between finance costs in the income statement and reduction of the lease obligation so as to achieve a constant rate of interest on the remaining balance of the liability

Assets leased under operating leases are not recorded on the balance sheet. Rental payments are charged directly to the income statement.

**Dividends receivable**
Dividend income from subsidiary companies is recognised when receivable.

**Defined contribution pension obligation**
A defined contribution plan is a pension plan under which fixed contributions are paid into a separate entity and has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods.

For defined contribution plans contributions are paid publicly or privately administered pension insurance plans on a mandatory or contractual basis. The contributions are recognised as employee benefit expense when they are due. If contribution payments exceed the contribution due for service, the excess is recognised as an asset.

## 3 Significant accounting judgements and major sources of estimation uncertainty

The Company makes some judgements when applying its accounting policies which can have a significant effect on the amounts recognised in these financial statements. The Company also makes assumptions concerning the future and other major sources of estimation uncertainty that can result in a material adjustment to the carrying amounts of assets and liabilities within the next financial period. We discuss these below.

## 3 Significant accounting judgements and major sources of estimation uncertainty (continued)

**Allowances against the carrying value of inventories**
In order to achieve the accounting policy objective that inventories are stated at the lower of cost and net realisable value, the Company carries an allowance against products which it estimates may not sell at a price above cost, or where we may be holding levels of product in excess of estimated future demand. The Company bases these estimates on a regular review of product lifecycles and selling prices achieved in the market, and in particular on historical sales profiles of products after they have been discontinued. These estimates are updated based on actual experience, but the accuracy of the estimates at any point in time can be affected by the extent to which current products may not follow historical patterns.

Both the gross inventory balance and the amount of the allowance against their carrying value are material items and we would expect this to remain the case as the Company grows in size, and as consumer demand for regular introductions of new product continues. Details of inventories and of the allowances against their carrying amount for the current and prior period end are shown in the inventories note.

## 4 Turnover

The analysis of the company's turnover for the period from continuing operations in the UK is as follows:

| | 30 December 2018 to 28 December 2019 £ 000 | 31 December 2017 to 29 December 2018 £ 000 |
|---|---|---|
| Sale of goods | 1,558,859 | 1,485,009 |
| Dividends received | 1,284 | 234 |
| | 1,560,143 | 1,485,243 |

## 5 Other gains and losses

The analysis of the company's other gains and losses for the period is as follows:

| | 30 December 2018 to 28 December 2019 £ 000 | 31 December 2017 to 29 December 2018 £ 000 |
|---|---|---|
| Gain (loss) on disposal of tangible assets | (170) | 30 |
| Gain (loss) on disposal of intangible assets | (44) | - |
| | (214) | 30 |

## 6 Operating profit

Arrived at after charging/(crediting)

| | 30 December 2018 to 28 December 2019 £ 000 | 31 December 2017 to 29 December 2018 £ 000 |
|---|---|---|
| Depreciation expense | 19,179 | 17,538 |
| Amortisation expense | 3,485 | 1,472 |
| Write-down of inventory to net realisable value | 8,636 | 9,835 |
| Foreign exchange gains | (5,340) | (1,984) |
| Rent payable on property | 71,139 | 68,318 |
| Operating lease expense - plant and machinery | 20,440 | 19,313 |
| Loss/(profit) on disposal of property, plant and equipment | 170 | (30) |

## 7 Interest receivable and similar income

| | 2019 £ 000 | 2018 £ 000 |
|---|---|---|
| Interest income on bank deposits | 11 | 8 |

## 8 Interest payable and similar expenses

| | 30 December 2018 to 28 December 2019 £ 000 | 31 December 2017 to 29 December 2018 £ 000 |
|---|---|---|
| Interest on bank overdrafts and borrowings | 14 | - |

## 9 Staff costs

The aggregate payroll costs (including directors' remuneration) were as follows:

| | 2019<br>£ 000 | 2018<br>£ 000 |
|---|---|---|
| Wages and salaries | 271,794 | 248,209 |
| Social security costs | 24,832 | 22,631 |
| Pension costs, defined contribution scheme | 7,662 | 5,399 |
| Redundancy costs | 486 | 243 |
| Share-based payment expenses | 3,895 | 2,978 |
| | 308,669 | 279,460 |

The average number of persons employed by the company (including directors) during the period, analysed by category was as follows:

| | 2019<br>No. | 2018<br>No. |
|---|---|---|
| Administration and support | 493 | 446 |
| Sales | 7,387 | 7,107 |
| | 7,880 | 7,553 |

## 10 Directors' remuneration

During the period and the prior period, only one of the Company's directors was paid by this Company. Details of their remuneration are as follows:

| | 30 December 2018 to 28 December 2019 No. | 31 December 2017 to 29 December 2018 No. |
|---|---|---|
| Received or were entitled to receive shares under long term incentive schemes | 1 | 1 |
| Accruing benefits under defined benefit pension scheme | 1 | 1 |

In respect of the highest paid director:

| | 30 December 2018 to 28 December 2019 £ 000 | 31 December 2017 to 29 December 2018 £ 000 |
|---|---|---|
| Remuneration | 681 | 503 |
| Defined benefit accrued pension entitlement at the end of the period | 58 | 57 |

During the period the highest paid director received or was entitled to receive shares under a long term incentive scheme.

## 11 Auditor's remuneration

| | 30 December 2018 to 28 December 2019 £ 000 | 31 December 2017 to 29 December 2018 £ 000 |
|---|---|---|
| Audit of the financial statements | 220 | 218 |

## 12 Income tax

Tax charged/(credited) in the income statement

| | 30 December 2018 to 28 December 2019 £ 000 | 31 December 2017 to 29 December 2018 £ 000 |
|---|---|---|
| **Current taxation** | | |
| UK corporation tax | 56,756 | 53,922 |
| UK corporation tax adjustment to prior periods | (786) | 643 |
| | 55,970 | 54,565 |
| **Deferred taxation** | | |
| Current year | 688 | 403 |
| Adjustment in respect of prior years | (156) | (11) |
| Total deferred taxation | 532 | 392 |
| Tax expense in the income statement | 56,502 | 54,957 |

The tax on profit before tax for the period is higher than the standard rate of corporation tax in the UK (2018 - higher than the standard rate of corporation tax in the UK) of 19% (2018 - 19%).

The differences are reconciled below:

| | 30 December 2018 to 28 December 2019 £ 000 | 31 December 2017 to 29 December 2018 £ 000 |
|---|---|---|
| Profit before tax | 295,328 | 281,441 |
| Corporation tax at standard rate | 56,112 | 53,474 |
| Increase (decrease) from adjustment for prior periods | (942) | 632 |
| Increase (decrease) from effect of expenses not deductible in determining taxable profit (tax loss) | 906 | 1,233 |
| Increase (decrease) from effect of exercise employee share options | 426 | (392) |
| Deferred tax expense (credit) relating to changes in tax rates or laws | - | 10 |
| Total tax charge | 56,502 | 54,957 |

## 12 Income tax (continued)

**Deferred tax**

Deferred tax movement during the period:

| | At 30 December 2018 £ 000 | Recognised in equity £ 000 | At 28 December 2019 £ 000 |
|---|---|---|---|
| Share-based payment | 3,696 | (64) | 3,632 |
| Provisions | (3,535) | - | (3,535) |
| Accelerated tax depreciation | 21,986 | - | 21,986 |
| Net tax assets/(liabilities) | 22,146 | (64) | 22,083 |

Deferred tax movement during the prior period:

| | At 31 December 2017 £ 000 | Recognised in income £ 000 | Recognised in equity £ 000 | At 29 December 2018 £ 000 |
|---|---|---|---|---|
| Share-based payment | 3,622 | 19 | 55 | 3,696 |
| Provisions | (3,535) | (46) | - | (3,581) |
| Accelerated tax depreciation | 21,986 | 419 | - | 22,405 |
| Net tax assets/(liabilities) | 22,073 | 392 | 55 | 22,520 |

The headline UK corporation tax rate was 20% up until 1 April 2017, when it reduced to 19%. This is due to fall to 17% with effect from 1 April 2020. The effect of these rate reductions has been reflected in the deferred tax balances in the financial statements.

## 13 Tangible assets

| | Furniture, fittings and equipment £ 000 | Assets under construction £ 000 | Other property, plant and equipment £ 000 | Total £ 000 |
|---|---|---|---|---|
| **Cost or valuation** | | | | |
| At 30 December 2018 | 126,996 | 6,695 | 96,390 | 230,081 |
| Additions | 14,009 | 18,044 | 7,292 | 39,345 |
| Disposals | (825) | - | (8,953) | (9,778) |
| Transfers | 417 | (3,010) | 2,363 | (230) |
| At 28 December 2019 | 140,597 | 21,729 | 97,092 | 259,418 |
| **Depreciation** | | | | |
| At 30 December 2018 | 79,033 | - | 42,690 | 121,723 |
| Charge for the period | 8,962 | - | 10,217 | 19,179 |
| Eliminated on disposal | (487) | - | (8,850) | (9,337) |
| At 28 December 2019 | 87,508 | - | 44,057 | 131,565 |
| **Carrying amount** | | | | |
| At 28 December 2019 | 53,089 | 21,729 | 53,035 | 127,853 |
| At 29 December 2018 | 47,964 | 6,695 | 53,700 | 108,359 |

## 14 Intangible assets

| | Assets under construction £ 000 | Other intangible assets £ 000 | Total £ 000 |
|---|---|---|---|
| **Cost or valuation** | | | |
| At 30 December 2018 | 434 | 14,547 | 14,981 |
| Additions | 3,272 | 15,671 | 18,943 |
| Disposals | - | (104) | (104) |
| Transfers | (154) | (1,880) | (2,034) |
| At 28 December 2019 | 3,552 | 28,234 | 31,786 |
| **Amortisation** | | | |
| At 30 December 2018 | - | 7,447 | 7,447 |
| Amortisation charge | - | 3,485 | 3,485 |
| Amortisation eliminated on disposals | - | (59) | (59) |
| At 28 December 2019 | - | 10,873 | 10,873 |
| **Carrying amount** | | | |
| At 28 December 2019 | 3,552 | 17,361 | 20,913 |
| At 29 December 2018 | 433 | 7,100 | 7,533 |

## 15 Investments

The Company directly holds one £1 ordinary share in two subsidiary companies. This holding represents 100% of the issued share capital and voting rights of both of the subsidiary companies.

Details of the subsidiaries as at 28 December 2019 are as follows:

| Name of subsidiary | Principal activity | Registered office | Holding | Proportion of ownership interest and voting rights held 2019 | 2018 |
|---|---|---|---|---|---|
| Howden Joinery Properties Limited | Managing properties for fellow Group subsidiaries | England & Wales | Ordinary shares | 100% | 100% |
| Howden Kitchens Properties Limited | Managing properties for fellow Group subsidiaries | England & Wales | Ordinary shares | 100% | 100% |

## 16 Stocks

| | 28 December 2019 £ 000 | 29 December 2018 £ 000 |
|---|---|---|
| Raw materials and consumables | 8,667 | 6,366 |
| Work in progress | 5,664 | 5,404 |
| Finished goods and goods for resale | 212,143 | 208,922 |
| | 226,474 | 220,692 |

The cost of Stocks recognised as an expense in the period amounted to £598,896 (2018 - £585,920). This is included within cost of sales.

## 17 Trade and other debtors

| | 28 December 2019 £ 000 | 29 December 2018 £ 000 |
|---|---|---|
| Trade receivables | 143,633 | 140,965 |
| Receivables from related parties | 1,731,407 | 1,335,073 |
| Deferred Taxation | 2,124 | 2,593 |
| Prepayments | 16,291 | 16,840 |
| Other receivables | 1,258 | 1,643 |
| Total current trade and other receivables | 1,894,713 | 1,497,114 |

## 18 Cash at bank and in hand

| | 28 December 2019 £ 000 | 29 December 2018 £ 000 |
|---|---|---|
| Cash on hand | 489 | 471 |
| Cash at bank | 1,953 | (157) |
| | 2,442 | 314 |

## 19 Share capital

**Allotted, called up and fully paid shares**

| | 28 December 2019 | | 29 December 2018 | |
|---|---|---|---|---|
| | No. | £ | No. | £ |
| Ordinary shares of £1 each | 100,000,000 | 100,000,000 | 100,000,000 | 100,000,000 |

**Allotted, called up and fully paid shares**

| | 28 December 2019 | | 29 December 2018 | |
|---|---|---|---|---|
| | No. 000 | £ 000 | No. 000 | £ 000 |
| Ordinary shares of £1 each | 100,000 | 100,000 | 100,000 | 100,000 |

## 20 Obligations under leases and hire purchase contracts

**Operating leases - Plant and Machinery**

The total future value of minimum lease payments is as follows:

| | 28 December 2019 £ 000 | 29 December 2018 £ 000 |
|---|---|---|
| Within one year | 14,583 | 14,583 |
| In two to five years | 36,626 | 31,264 |
| In over five years | 7,077 | 8,507 |
| | 58,286 | 54,354 |

**Rent Payable**

The lease agreements for this company's properties are managed by a fellow wholly-owned Group subsidiary, and the rents are disclosed in that company.

## 21 Pension and other schemes

**Defined contribution pension scheme**

The company operates a defined contribution pension scheme. The pension cost charge for the period represents contributions payable by the company to the scheme and amounted to £7,662,526 (2018 - £5,398,586).

## 21 Pension and other schemes (continued)

### Defined benefit pension schemes

### Plans that share risks between entities under common control

The Howden Joinery Group operates a funded pension plan which provides benefits based on the career average pensionable pay of participating employees. This plan was closed to new entrants from April 2013.

The plan shares risks between wholly-owned Group subsidiaries which are each under the control of the ultimate parent company. These risks are shared between this Company and two other wholly-owned Group subsidiaries.

There is no contractual agreement or stated policy for charging the net defined benefit cost between the participating subsidiaries. Howden Joinery Corporate Services Limited is the sponsoring employer, so the entire net defined benefit pension cost, and the entire pension deficit, appears in that company's accounts.

This company and the other participating Group subsidiary company, recognises a cost in its accounts equal to their contribution for the period.

## 22 Share-based payments

The ultimate parent company, Howden Joinery Group Plc ("the Group") operates various share-based payment schemes for employees in its subsidiary companies, all of which relate to shares in the Group. There are no share-based payment schemes relating to the shares in the Company. The various Group schemes are described below.

### Share Incentive Scheme ("Freeshares")

### Scheme description

This is an all-employee share incentive plan whereby participants receive a grant of free shares in the Group. If the employees are still employed by the Group three years after the grant, then the shares vest. Dividends are paid out on the shares between award date and vesting date. There are no other performance conditions attached to these awards.

**22 Share-based payments (continued)**

**Howden Joinery Group Long Term Incentive Plan ("LTIP")**

**Scheme description**

This is a discretionary plan under which the Group may grant different types of awards including options, conditional awards, and restricted share awards. With the exception of (vi) below, neither dividends nor dividend equivalents are payable during the vesting period. The different types of awards are as follows:
(i) Market value options, the vesting period for which is three years from the date of grant with an exercise period of seven years (i.e. a total life of ten years). Options vested if cumulative PBT of £90m was achieved over the three financial years ending 2009, 2010 and 2011.
(ii) Market value options, the vesting period for which was three years commencing from the date of grant with an exercise period of seven years (i.e. a total life of 10 years). 15% of the options vested if the group achieved growth in pre-exceptional PBT equivalent to RPI over the performance period; 100% vested if pre-exceptional PBT growth was equivalent to RPI + 8% is achieved.
(iii) Conditional Share Award - the vesting period for which was three years commencing from the date of grant and subject to continuing employment.
(iv) Market value options - the vesting period for which was three years commencing from the date of grant with an exercise period of seven years (i.e. a total of 10 years). Vesting conditions for the 2015 award are that it was based on profits for the three years ended December 2017, and that it did not vest if profits grew by below 8% over the vesting period, it vested at 15% if profits grew by 8% over the period, at 100% if profits grew by 20% over the period, and on a straight-line sliding scale if profits grew between 8% and 20%. The conditions for the 2016 award were the same except that vesting was based on profits in the three years to December 2018.
(v) Performance share plan. The vesting period for which is three years commencing from date of grant. The awards are subject to the following performance conditions
Date of award (a) 2017 (b) 2018 (c) 2019
Vesting based on growth in profits - from year ended December (a) 2016 (b) 2017 (c) 2018
for the three-year period ending with the year ended December (a) 2019 (b) 2020 (c) 2021
Award vests at 15% if profits over the vesting period grow by (a) 3% (b) 5% (c) 5%
Award vests at 100% if profits over the vesting period grow by (a) 15% (b) 15% (c) 15%

(vi) Restricted share awards, where the participant receives beneficial entitlement to shares upon grant of the award. The legal interest, however, is not transferred to the participant until the forfeiture provisions and restrictions applicable to the awards cease to apply. The shares are not subject to any performance conditions other than continued employment. Dividends are payable during the vesting period.

**Recruitment Plan**

**Scheme description**

This is a discretionary plan under which the Group may grant employees conditional rights to acquire shares subject to conditions as determined by the Group. The awards granted under this plan may only be satisfied with existing shares.

## 23 Other provisions

| | Warranties £ 000 | Properties £ 000 | Total £ 000 |
|---|---|---|---|
| At 30 December 2018 | 3,444 | 773 | 4,217 |
| Additional provisions | 5,254 | 1,392 | 6,646 |
| Provisions used | (3,687) | (234) | (3,922) |
| Unused provision reversed | - | (489) | (489) |
| At 28 December 2019 | 5,011 | 1,441 | 6,452 |
| Non-current liabilities | 5,011 | 1,441 | 6,452 |

## 24 Trade and other payables

| | 28 December 2019 £ 000 | 29 December 2018 £ 000 |
|---|---|---|
| Trade payables | 99,989 | 96,690 |
| Accrued expenses | 39,939 | 33,687 |
| Amounts due to related parties | 1,650,799 | 1,242,661 |
| Social security and other taxes | 76,000 | 72,630 |
| Other payables | 959 | 1,032 |
| | 1,867,686 | 1,446,700 |

## 25 Dividends

| | 28 December 2019 £ 000 | 29 December 2018 £ 000 |
|---|---|---|
| Final dividend of £2,305.07 (2018 - £2,133.76) per ordinary share | 230,507 | 213,376 |

## 26 Parent and ultimate parent undertaking

The company's immediate parent is Howden Joinery Holdings Limited.

The ultimate parent, who produces consolidated financial statements which include this company, is Howden Joinery Group Plc.

The most senior parent entity producing publicly available financial statements, and the only other entity who produces consolidated financial statements which include this company is Howden Joinery Group Plc. These financial statements are available upon request from 40 Portman Square, London, W1H 6LT, or http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp .

The ultimate controlling party is Howden Joinery Group Plc.

## 27 Non adjusting events after the financial period

The period between the balance sheet date and the date of approval of these financial statements saw the outbreak of COVID-19 in Europe. This is treated as a non-adjusting event in these financial statements.

As the outbreak is still in progress, and its extent and duration are uncertain, it is not possible to estimate its future financial effect. We have taken it into account in assessing the Company's going concern status at the date of approving these financial statements, as we set out in more detail in the statement of going concern included in the Directors' Report.